11. Hire Purchase Finance

Small scale firms can acquire industrial machinery, office equipments, vehicles etc., without making full payment through hire purchase. With the help of assets acquired through hire purchase, they can produce and sell. From the earnings, payments can easily be made in installments. Ultimately the ownership of assets can be acquired. Now several agencies like National Small Industries Corporation (NSIC) provide machinery and equipments to small scale units on hire purchase basis.

12. Factoring

Factoring is one of the methods of raising business finance through sale or mortgage of book debts. Under this method, business concerns sell the accounts receivable to a finance company called a factor at a discount.

Sources of Medium Term Finance

1. Loans from Banks

When the bank lends for a period ranging from more than one year to less than five years, it is called medium term loan. All aspects of bank finance have been discussed under the head long term sources of finance.

2. Loan from Financial Institutions

Where the financial institutions lends for a period ranging from more than one year to less than five years, it is called medium term loan. All aspects of institutional finance have been discussed under the head long term sources of finance.

3. Lease Financing

Lease financing denotes procurement of assets through lease. For many small and medium enterprises, acquisition of plant and equipment and other permanent assets will be difficult in the initial stages. In such a situation Leasing is helping them to a greater extent. Leasing here refers to the owning of an asset by any individual or a corporate body which will be given for use to another needy business enterprise on a rental basis.

The firm which owns the asset is called 'Lessor' and the business enterprise which hires the asset is called 'Lessee'. The contract is called 'Lease'. The lessee pays a fixed rent on agreed basis to the lessor for the use of the asset. The terms and conditions like lease period, rent fixed, mode of payment and allocation of maintenance, are mentioned in the lease contract. At the end of the lease period, the asset goes back to the lessor. Alternatively lessee can own the asset taken on lease by payimg the balance of price of asset concerned to lessor. Hence lease finance is a popular method of medium term business finance.

Sources of Long Term Finance

Long term sources of funds refer to those sources which are required by the business firms for a period exceeding five years. The various sources of long term business finance are briefly explained below.

1. Shares

Corporate enterprises generally obtain capital mainly from share capital which is divided into small units called shares. Each share has a nominal value. The Indian Companies Act 2013 describes a share "to be a share in the share capital of a company". The person holding a share is called shareholder who has the interest in the assets and profit of the company. There

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